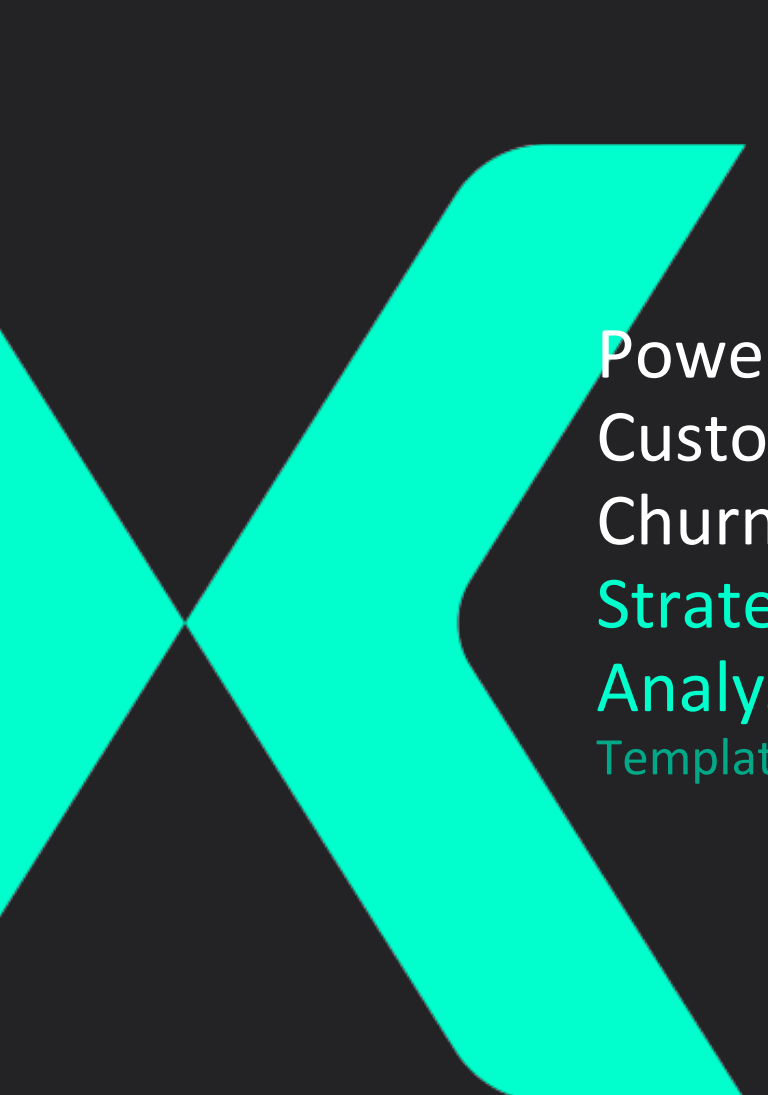




Power Co Customer Churn — Strategic Analysis Template

Outcome

- Target the top 10% of high-churn-risk customers with a 20% discount. Our Random Forest model identifies these customers with ~85% accuracy, potentially saving PowerCo significant revenue.

Background

- Power Co is experiencing significant SME customer churn in a liberalized energy market. The business hypothesized that price sensitivity is the primary driver.

Key Findings

- Analysis of historical pricing and usage data reveals that while price changes correlate with churn, tenure and contract timing are equally strong predictors — price alone is not sufficient to explain churn.

Objective

- Can we predict which SME customers are likely to churn, and is a targeted 20% discount the most cost-effective retention strategy?